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Submitter Information

Email: [REDACTED]
Organization: America's Credit Unions

General Comment

Comment from America's Credit Unions.

Attachments

ACU Comment Letter to NSF re AI Action Plan 3.15.25 _final



March 31, 2025

Faisal D'Souza
National Coordination Office
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

Request for Information on the Development of an Artificial Intelligence Action Plan

Dear Mr. D'Souza:

America's Credit Unions appreciates this opportunity to respond to the request for information regarding the development of an artificial intelligence (AI) action plan, consistent with Executive Order 14179, "Removing Barriers to American Leadership in Artificial Intelligence." America's Credit Unions is the voice of consumers' best option for financial services: credit unions. We advocate for policies that allow the industry to effectively meet the needs of their over 142 million members nationwide.

America's Credit Unions supports the directive to develop AI policy that promotes economic competitiveness. As highly regulated financial institutions, credit unions are committed to using AI safely, securely, and with the goal of helping their members meet their financial needs. Today credit unions are partnering with third parties to successfully implement AI-driven tools to improve access to credit for members, strengthen existing risk management processes, and improve customer service. To promote continued innovation in this field, credit unions must have certainty that future AI policy frameworks will not impose one-size-fits all rules that are either duplicative or administratively difficult to implement in an already tightly regulated sector.

General Comments

America's Credit Unions supports non-regulatory approaches for supporting and evaluating the use of AI within the financial services sector. As with other technologies, consumer financial protections and anti-discrimination rules continue to have broad applicability and are not diminished by any particular mode of decision making. Existing regulations require credit unions to adopt robust risk management practices and compliance procedures to ensure that the use of any new technology does not jeopardize safety and soundness or the rights of individual members.

A future AI action plan should ensure that policy targeting financial institution use of AI accounts for existing regulation is tailored to specific use cases, which are typically far narrower than the "generative AI" capabilities which have attracted the greatest share of public concern. Existing

consumer financial law is tech neutral and applies to many banking activities already driven by algorithms and technology—such as credit underwriting and customer service interactions. In the context of ensuring AI risks are managed appropriately, the AI action plan should acknowledge the broad applicability of existing consumer financial law and the robust risk management practices already required of credit unions.¹

A future AI action plan should also endeavor to educate financial regulators about the practical application of AI both within government agencies and regulated institutions. Such education is necessary to avoid misunderstanding about the extent to which control is vested between human and machine agents across various use cases. The particular degree of control has relevance insofar as some financial regulators may perceive AI-driven outcomes as difficult to understand but are not sure how end users should validate their use of AI systems to demonstrate compliance with applicable law. In general, financial regulatory agencies tend to evaluate compliance by looking at policies and procedures, which are part of an institution's compliance management system (CMS). In the context of assessing compliance with consumer financial law, these evaluations can be subjective and can result in lower supervisory ratings even when no violations of law are identified.² Given how AI appears to draw scrutiny from certain regulators, a balanced and informed supervisory approach is paramount to ensure that assessments of AI are reasonably scoped and output oriented.³

A future AI action plan should recognize that many of the potential risks associated with using AI are not unique to AI.⁴ Furthermore, many of these risks are addressed by existing law, regulation, or supervisory guidance. For example, safety and soundness risk associated with the use of AI for credit underwriting purposes is largely accounted for in the NCUA's supervision policy for model risk management. The NCUA has noted in its examiner guidance that “[m]odel risk increases with model complexity and with higher levels of uncertainty about the validity of inputs and assumptions,” and advises credit unions to engage in a robust risk management

¹ See NCUA Examiner's Guide, Risk Management Components (last updated August 23, 2022), available at <https://publishedguides.ncua.gov/examiner/Content/ExaminersGuide/Risk-ManagementGovernance/RiskManagementComponents.htm#Policies>.

² See CFPB, Supervision and Examination Manual, Examinations and Targeted Reviews, 11 (February 2019) available at https://files.consumerfinance.gov/f/documents/cfpb_examination-process-section.pdf (“An institution may receive a less than satisfactory rating even when no violations were identified, based on deficiencies or weaknesses identified in the institution's CMS”)

³ See CFPB, CFPB and Federal Partners Confirm Automated Systems and Advanced Technology Not an Excuse for Lawbreaking Behavior (April 25, 2023) available at <https://www.consumerfinance.gov/about-us/newsroom/cfpb-federal-partners-confirm-automated-systems-advanced-technology-not-an-excuse-for-lawbreaking-behavior/> (“[T]he CFPB will work with its partner enforcement agencies to root out discrimination caused by any tool or system that *enables* unlawful decision making”) (emphasis added).

⁴ See Board of Governors of the Federal Reserve System, CFPB, FDIC, NCUA, OCC, Request for Information and Comment on Financial Institutions' Use of Artificial Intelligence, Including Machine Learning, 86 Fed. Reg. 16837, 16839 (March 31, 2021), available at <https://www.federalregister.gov/documents/2021/03/31/2021-06607/request-for-information-and-comment-on-financial-institutions-use-of-artificial-intelligence>.

process to ensure model validation and accuracy.”⁵ In terms of assessing the adequacy of credit union model risk management, the NCUA references interagency guidance published by the Board of Governors of the Federal Reserve System (Federal Reserve) and Office of the Comptroller of the Currency (OCC). The interagency guidance casts a wide net, covering many different banking activities including underwriting credits, valuing exposures, measuring risk, and safeguarding client assets.

Credit unions looking deploy AI either on their own or through third parties are well aware of the risks that such technology could pose in the absence of appropriate model risk management, due diligence and third-party risk assessment. Fine-tuned control, careful oversight, and an abundance of caution are prerequisites for putting any type of AI software into production. While certain applications of AI may be new (e.g., natural language interaction with consumers), the high-level principles contained in the interagency model risk management guidance remain broadly applicable. Most importantly, the guidance recognizes limits on risk management by emphasizing a standard of materiality. Similar to other domains of prudential regulation, effective regulation seeks to manage risk to an acceptable level based on the exposures and risk tolerances of individual institutions.

A future AI action plan should recognize that the question of whether risks are material is especially relevant in the context of evaluating AI systems. If an institution can demonstrate adequate risk management and exercise appropriate due diligence with respect to the selection of technology service providers, consistent with longstanding regulatory guidance, deployment of AI technology should not raise significant new concerns within the financial sector. Unlike unregulated sectors of the economy, where unsupervised companies may be exploring generative uses of AI that could introduce unique security or political risks, the use of AI by credit unions and other regularly examined financial institutions is tightly controlled.

While certain forms of AI have evoked concern around topics of bias and misinformation, it is important to recognize that the use of AI within the credit union industry is subject to ongoing supervision and examination to ensure compliance with consumer protections, anti-discrimination laws, and prudential safeguards. Accordingly, the regulatory priorities of the AI action plan should be oriented towards refining supervisory understanding rather than seeking new, one-size-fits all rules that would soon grow outdated in the quickly developing field of AI. With greater understanding of how this technology can benefit consumers, enhance business functions, and support healthy competition, regulators may find it easier to offer signals of support rather than skepticism

Conclusion

America’s Credit Unions supports a financial marketplace that allow credit unions to grow and innovate through the responsible use of AI and appropriate collaboration with fintechs. As not-

⁵ See NCUA, Model Risk, *available at* <https://publishedguides.ncua.gov/examiner/Content/ExaminersGuide/SensitivityMarketRisk/EvaluatingIRR/Measurement/ModelRisk.htm?Highlight=model%20risk>

for-profit cooperatives, credit unions leverage AI tools to reduce costs and meet the needs of their members, such as by improving access to credit, preventing fraud, enhancing risk management, and improving customer service operations. Money that can be saved by adopting AI is money that can be put back in the pockets of credit union members. We are hopeful that a future AI action plan will support innovation and operational efficiency while avoiding excess regulatory burden.

We look forward to continuing to work with the NSF on these important issues. Should you have any questions or need additional information, please contact me at [REDACTED] or [REDACTED].

Sincerely,

Andrew Morris
Director, Innovation & Technology